

	1999	2000	2001	2002	2003	2004	2005	2006	2007	2008
Highest Return	Emer. Mkts 86%	Commodity 32%	Small Value 14%	Commodity 26%	Int'l Small 58%	Real Estate 33%	Emer. Mkts 35%	Real Estate 36%	Emer. Mkts 40%	Fixed Inc. -3%
	Int'l Large 27%	Real Estate 31%	Real Estate 12%	Fixed Inc. 10%	Emer. Mkts 56%	Int'l Small 28%	Int'l Small 24%	Emer. Mkts 32%	Commodity 15%	Small Value -29%
	Commodity 24%	Small Value 23%	Fixed Inc. 16%	Real Estate 4%	Small Cap 47%	Emer. Mkts 26%	Commodity 21%	Int'l Large 27%	Int'l Large 12%	Small Cap -34%
	Small Cap 21%	Fixed Inc. 9%	Small Cap 2%	Emer. Mkts -6%	Small Value 46%	Small Value 22%	Int'l Large 14%	Small Value 23%	Fixed Inc. 6%	Commodity -36%
	S&P 500 21%	Large Value 7%	Emer. Mkts -2%	Diversified Port. -6%	Int'l Large 39%	Int'l Large 21%	Diversified Port. 13%	Large Value 22%	S&P 500 5%	Diversified Port. -36%
	Diversified Port. 18%	Diversified Port. 4%	Diversified Port. -4%	Int'l Small -10%	Diversified Port. 37%	Diversified Port. 19%	Real Estate 13%	Diversified Port. 20%	Diversified Port. 5%	Large Value -37%
	Int'l Small 18%	Small Cap -3%	Large Value -6%	Small Value -11%	Real Estate 36%	Small Cap 18%	Large Value 7%	Small Cap 18%	Int'l Small 2%	S&P 500 -37%
	Large Value 7%	Int'l Small -9%	S&P 500 -12%	Int'l Large -16%	Large Value 30%	Large Value 16%	S&P 500 5%	Int'l Small 17%	Large Value 0%	Real Estate -39%
	Fixed Inc. 0%	S&P 500 -9%	Int'l Small -14%	Large Value -16%	S&P 500 29%	S&P 500 11%	Small Cap 5%	S&P 500 16%	Small Cap -2%	Int'l Large -43%
	Small Value -1%	Int'l Large -14%	Commodity -20%	Small Cap 20%	Commodity 24%	Commodity 9%	Small Value 5%	Fixed Inc. 4%	Small Value -10%	Int'l Small -47%
Lowest Return	Real Estate -3%	Emer. Mkts -31%	Int'l Large 21%	S&P 500 -22%	Fixed Inc. 7%	Fixed Inc. 4%	Fixed Inc. 1%	Commodity 2%	Real Estate 18%	Emer. Mkts -53%

Source: Dimensional Fund Advisors and Thomson Financial

FIGURE 7.5 Sample of a Periodic Table of Investment Returns

Figure 7.5 shows that asset class returns are highly variable. Many investors fail to heed the advice offered by the chart—namely, that it is nearly impossible to accurately predict which asset class will be the best performer from one year to the next. Thus, diversification is prudent (note how the diversified portfolio consistently appears near the center of each column). Practitioners would be wise to present this chart when establishing asset allocations with new clients to emphasize the advantages of diversification over return chasing.

NOTES

1. Daniel Kahneman, Paul Slovic, and Amos Tversky (eds.), *Judgment under Uncertainty: Heuristics and Biases* (New York: Cambridge University Press, 1982).
2. Kenneth L. Fisher and Meir Statman, "A Behavioral Framework for Time Diversification," *Financial Analysts Journal* (May/June 1999).
3. See Morningstar web site: www.morningstar.com.
4. Russ Thornton. "Quantitative Analysis of Investor Behavior 2008." Dalbar, Inc. (2008): 1–12. Accessed March 11, 2011. <http://www.scribd.com/doc/13096471/DALBAR-QAIB-2008>.
5. Ibid, pg. 3.